

anticipation of higher tariffs. Growth of PDPF was 3.0% during the third quarter, picking up from the 2.4% annualized pace during the first half of 2025.

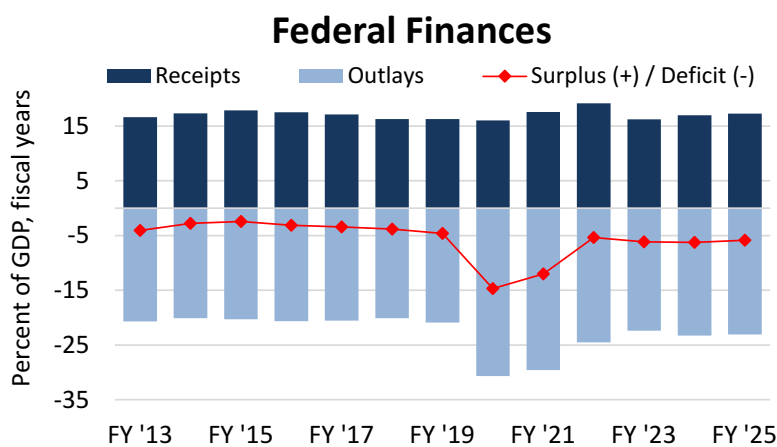
Labor market data since June suggest some downside risks have emerged, but labor supply remains strong. Since June 2025, private-sector employers have added an average of 43,000 jobs per month, slower than the 79,000 average monthly pace during the first half of the year and considerably below the 135,000 average during the second half of 2024. Meanwhile, the unemployment rate since June has averaged 4.4%, or about 0.2 percentage points above the average in the first half of 2025—though the increase in the unemployment rate is due to a low hires rate rather than a rising layoffs rate, which remains stable and low. Despite softer labor demand, labor supply has continued to improve since the first half of 2025: the average for the overall LFPR ticked up 0.1 percentage point to 62.4% through December and the prime-age LFPR has increased by 0.2 percentage points to 83.7%, a high rate relative to the past 25 years.

Annual inflation has slowed in recent months. Over the twelve months ending in December 2025, year-over-year CPI inflation was 2.7%, matching the pace over the twelve months through June. Slower rent of housing inflation readings has driven the slowdown, although energy inflation has accelerated very recently. Core CPI was 2.6% over the year through December, 0.3 percentage points below June's 12-month rate. Year-over-year rent of housing inflation has moderated substantially, and in December was 0.8 percentage points slower than June's 4.1% pace, while core non-housing services inflation has declined 0.4 percentage points since June.

Federal Finances

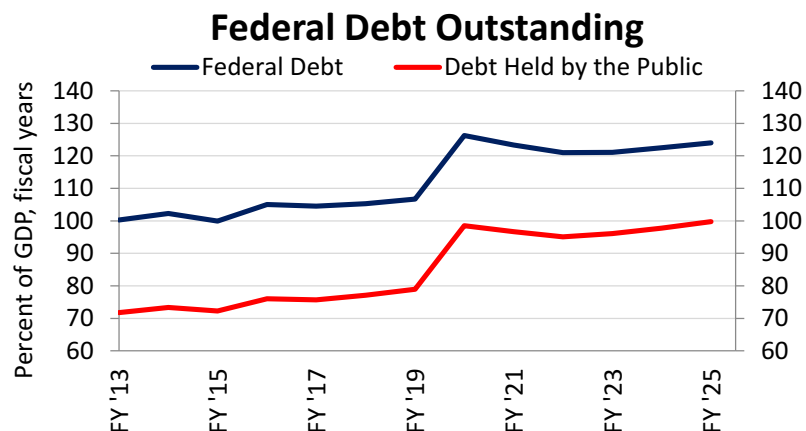
The fiscal deficit as a share of GDP during the previous Administration was the largest in history outside of a war or recession—peaking at 6.3% of GDP. In FY 2025, which ended last September, the deficit narrowed by \$41 billion to \$1.78 trillion, equal to 5.8% of GDP as an increase in receipts more than offset rising outlays. Total federal receipts rose by \$317 billion to \$5.24 trillion (17.2% of GDP) in FY 2025. The rise in receipts largely reflected strong growth of individual income tax withholdings and capital gains realizations, as well as higher customs duties.

Meanwhile, outlays rose by \$275 billion to \$7.00 trillion (23.1% of GDP) in FY 2025, reflecting higher spending on Social Security from both legislation and demographic aging, increased Medicare outlays, and higher net interest payments on the federal debt.



Sources: U.S. Treasury; Bureau of Economic Analysis.

The Treasury's borrowing limit was raised to \$41.1 trillion with the passage of the One Big Beautiful Bill Act in July 2025. At the end of FY 2025, gross federal debt stood at \$37.6 trillion (124.0% of GDP), while debt held by the public was \$30.3 trillion (99.7% of GDP).

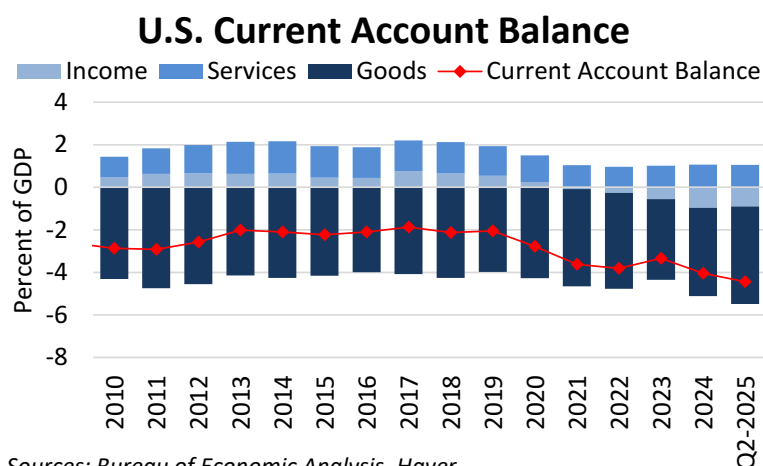


Sources: U.S. Treasury; Bureau of Economic Analysis.

The fiscal path this Administration inherited is unsustainable, and it is working tirelessly to cut spending, grow the economy and bring America back to a healthy fiscal path. The Administration seeks Congress's collaboration to cut wasteful government spending to bring down the federal deficit and to pass tax reform that promotes supply-side friendly macroeconomic environments through which the benefits of economic growth are broadly shared.

U.S. Current Account and Trade Balances

The U.S. current account deficit widened by \$317.1 billion to \$1.3 trillion in the four quarters through June 2025. The deficit was 4.6% of GDP over the same period, up from 3.6% in the four quarters though June 2024.



Sources: Bureau of Economic Analysis, Haver

The widening of the current account deficit mostly reflected an expanded deficit in goods. Overall, the goods deficit increased by around \$276.4 billion in the four quarters through June 2025 while the services surplus increased by \$15.0 billion. Total U.S. exports grew 5.4% in the four quarters through June 2025 while imports grew 10.9%. Taken together, the total U.S. trade deficit increased by \$261.4 billion in the four quarters through June 2025, compared to the four quarters through June 2024.

International Economic Trends

Despite resilient global growth, for several major trading partners, an excessive regulatory burden hinders the investment and private sector-led activity necessary to support economic dynamism. In some countries, high savings rates, beyond what would be implied